

M/s Meher Chandra Sewal Das Rais Mill v. State of U.P.

Allahabad High Court · Division Bench · 30 November 2016 · Writ-C No. 56701 of 2016 · **Writ disposed; ₹2 lakh deposit restores supply; 6.8 assessment then s.127 appeal.**

HEADNOTE

Clause 6.8 of the U.P. Electricity Supply Code, 2005 is a self-contained unauthorised-use procedure: site inspection and report, notice inviting objections to the provisional assessment, personal hearing, and a speaking final assessment of whether unauthorised use is established and of the quantum. A writ against a 30.9.2016 additional-dues notice of ₹7,73,525 was not decided on merits. On deposit of ₹2,00,000 the connection is to be restored; the assessing authority must decide the consumer's representation by a reasoned order after hearing and, if unauthorised use is found, pass a final assessment for the entire period of such use subject to Clause 6.8(c) (iii). An appeal then lies within 30 days under Section 127 of the Electricity Act, 2003 read with Clause 6.8(d).

FACTUAL SUMMARY

The petitioners run a rice mill at Old Bharthna, Etawah. Petitioner no. 2 took a 63 kV connection in September 2012 and paid billed charges. By notice dated 30 September 2016 the Executive Engineer, Electricity Distribution Division-II, Dakshinanchal Vidyut Vitran Nigam Limited, Etawah levied additional dues of ₹7,73,525. The writ sought quashing of that notice and restoration of supply. The licensee contended that an appeal under Section 127 of the Electricity Act, 2003 lay against the notice.

HOLDING-UNITS

INTERPLAY · UP-2005::6.8

uee-assessment-procedure-and-s127-appeal

HOLDING

Clause 6.8 is a complete unauthorised-use assessment procedure: site inspection and report under 6.8(a), notice requiring objections to the charges and provisional assessment under 6.8(b)(ii), and personal hearing followed by a speaking order under 6.8(c)(i) on whether unauthorised use is established and on quantum. The Assessing Officer's prima facie conclusion must be communicated to the consumer. Because an equally efficacious remedy exists, the writ is disposed without examining the ₹7,73,525 notice. The petitioners shall deposit ₹2,00,000 within two weeks; on that token deposit the connection shall be restored. The assessing authority shall decide the representation by a reasoned order after hearing and, if unauthorised use is established, pass a final assessment for the entire period of such use subject to the limitation in Clause 6.8(c) (iii). An appeal then lies within 30 days under Section 127 read with Clause 6.8(d). ¶ 1

PRINCIPLE TAGS

clause-6.8-hearing-procedure-mandatory-before-uee-conclusion Clause 6.8 of the U.P. Electricity Supply Code, 2005 is a self-contained unauthorised-use procedure: site inspection and report, notice inviting objections to the provisional assessment, personal hearing, and a speaking final assessment of whether unauthorised use is established and of the quantum.. ¶ 1

final-assessment-order-relegates-assessee-to-section-127-appeal Clause 6.8 of the U.P. Electricity Supply Code, 2005 is a self-contained unauthorised-use procedure: site inspection and report, notice inviting objections to the provisional assessment, personal hearing, and a speaking final assessment of whether unauthorised use is established and of the quantum.. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER UNAUTHORISED USE OF ELECTRICITY WAS ESTABLISHED AND WHETHER THE ₹7,73,525 ADDITIONAL-DUES NOTICE WAS SUSTAINABLE

Merits of the demand left to the assessing officer's reasoned order after hearing, with a subsequent appeal under Section 127 read with Clause 6.8(d). ¶ 1

SCJ-1540 · M/s Meher Chandra Sewal Das Rais Mill v. State of U.P. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.